Agriculture Economy 1991–2020: Production Increased but Farmers' Income Remained Stagnant

Foodgrains production crossed 200 million tonnes for the first time in 1998–99 and 300 million tonnes in 2019–2020. India's horticulture and animal husbandry production also shot up sharply. Today, India's net agriculture exports exceed $30 billion in some years.

Once India overcame its food shortage problem, policymakers lost the catalyst to drive agriculture development programmes and policy reforms despite the fact that farmers, especially landless farmers, still constituted a majority of the country's households and workforce.

In 1951, India had approximately 14 crore workers. About 70 per cent of these were dependent on agriculture as farmers and landless agricultural labourers. Unfortunately, despite the creditable growth of agriculture production, the dependence of rural workers on agriculture did not diminish significantly. In 2001, as many as 23.4 crore workers (58 per cent of total workers) eked out their livelihood from agriculture (about 13 crore as cultivators and 10.5 crore as labourers). As per the latest agriculture census data available for the year 2012–13, there are 9.02 crore agricultural households in the country.

The Indian economy started expanding rapidly after economic liberalization in 1991 and did particularly well in the past twenty years. Agriculture, however, has only been growing at about a quarter or one-third the rate of the non-agriculture economy and is, consequently, losing ground relatively. Agriculture and the allied sector make up only about 15 per cent of India's GDP now. As the share of income accruing to about 40 per cent of the population dependent upon agriculture is not even 15 per cent of the national income, farming households have a very low income. The largest proportion of poor people in the country comes from landless labour working as farm labour.